

analysts' self-evaluation did not decrease their error margin after their failures to forecast.

Last June I bemoaned the dearth of such published studies to Jean-Philippe Bouchaud, whom I was visiting in Paris. He is a boyish man who looks half my age though he is only slightly younger than I, a matter that I half jokingly attribute to the beauty of physics. Actually he is not exactly a physicist but one of those quantitative scientists who apply methods of statistical physics to economic variables, a field that was started by Benoît Mandelbrot in the late 1950s. This community does not use Mediocristan mathematics, so they seem to care about the truth. They are completely outside the economics and business-school finance establishment, and survive in physics and mathematics departments or, very often, in trading houses (traders rarely hire economists for their own consumption, but rather to provide stories for their less sophisticated clients). Some of them also operate in sociology with the same hostility on the part of the "natives." Unlike economists who wear suits and spin theories, they use empirical methods to observe the data and do not use the bell curve.

He surprised me with a research paper that a summer intern had just finished under his supervision and that had just been accepted for publication; it scrutinized two thousand predictions by security analysts. What it showed was that these brokerage-house analysts predicted *nothing*—a naïve forecast made by someone who takes the figures from one period as predictors of the next would not do markedly worse. Yet analysts are informed about companies' orders, forthcoming contracts, and planned expenditures, so this advanced knowledge *should* help them do considerably better than a naïve forecaster looking at the past data without further information. Worse yet, the forecasters' errors were significantly larger than the average difference between individual forecasts, which indicates herding. Normally, forecasts should be as far from one another as they are from the predicted number. But to understand how they manage to stay in business, and why they don't develop severe nervous breakdowns (with weight loss, erratic behavior, or acute alcoholism), we must look at the work of the psychologist Philip Tetlock.

I Was "Almost" Right

Tetlock studied the business of political and economic "experts." He asked various specialists to judge the likelihood of a number of political, economic, and military events occurring within a specified time frame (about five years ahead). The outcomes represented a total number of around twenty-seven thousand predictions, involving close to three hundred specialists. Economists